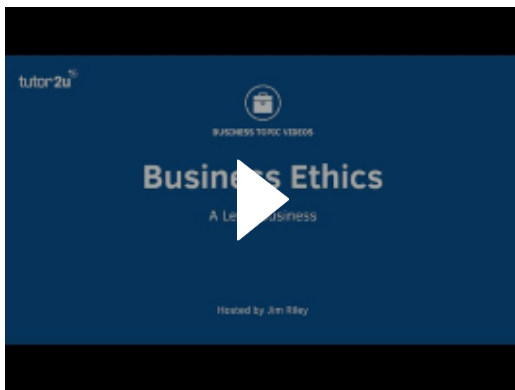


3 - Business ethics

Flipped learning - Please watch this short video before the start of the lesson



"It is inevitable that Businesses will behave unethically as it makes the most sense financially to do so".

To what extent do you agree with this statement?



By the end of the lesson you will be able to explain ethical considerations in business decision-making, including pay and rewards



- I know how to define business ethics and explain why ethical behaviour matters in business.
- I know how ethics influence strategic decisions (e.g. sustainability, fair sourcing, treatment of employees).
- I know how to describe ethical considerations related to pay and rewards, including fair wages and executive pay.
- I know examples of ethical and unethical business behaviour.
- I know how to evaluate how ethical decision-making affects reputation, employee morale, and stakeholder relationships.

Business ethics definition

Ethics are **moral guidelines** which govern **good behaviour**

So behaving ethically is **doing what is morally right**

This essentially means that a business will adopt the **stakeholder approach**

i.e. attempt to meet the objectives of stakeholder groups such as employees, customers, suppliers and local communities



I Do, We Do, You Do



Case Study 1 - Tesco's Fake Farms

[Fake Farming - Tesco and Business Ethics | tutor2u](#)

Read the short blog on the Tutor2u site.

Has Tesco behaved unethically here? Fully justify your opinion



Case Study 2 - Boohoo's Treatment of Labourers

[Boohoo selling clothes made by Pakistani workers 'who earned 29p an hour' | Boohoo | The Guardian](#)

What evidence in this case study suggests that Boohoo are an unethical business?

Why does Boohoo dispute the allegations made against them?

Taking all points into account - do you believe that Boohoo are an unethical Business? What changes might you suggest they implement?

You Do

Extract H

How Volvo Cars is leading the search for ethical Electric Vehicle (EV) batteries

Demand for electric vehicles is set to grow rapidly in the coming years. Cobalt is a key component of rechargeable batteries used in electric vehicles and smartphones. Around 60% of the global supply currently originates from mines in the Democratic Republic of the Congo (DRC).

5

There are estimated to be 255,000 miners in the DRC working in poor conditions for less than £1.50 a day. According to reports, more than 35,000 of those workers are under the age of 14, earning around 60 pence per day. There are also concerns about illegal mining, human rights abuses and corruption within the country.

For car businesses, ensuring cobalt and any raw materials obtained from suppliers are ethically sourced is problematic. This is why Volvo Cars uses technology to trace the cobalt used in the batteries of its electric vehicles.

10

"We already work with a not-for-profit organisation in the DRC to help protect workers in the mines," said Martina Buchhauser, from Volvo Cars. "We work with our suppliers to make sure that the raw materials in our batteries, including minerals such as cobalt, come from ethical supply chains. Therefore, we are able to extend our promise of safety to drivers, miners, and the environment."

15

Average ethical spending per UK household 1999–2018

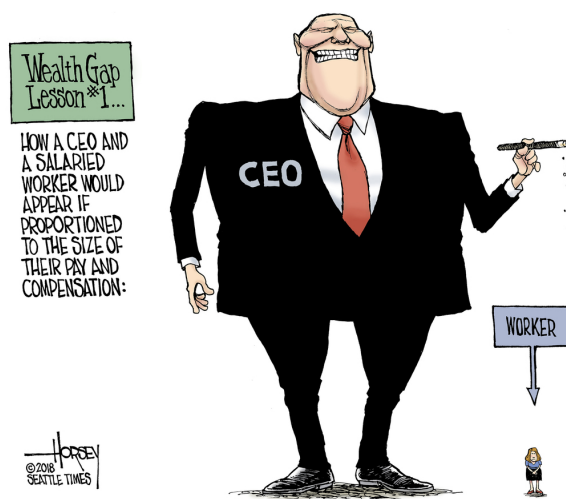
	1999	2018
Ethical transport	£10	£214
Renewable energy	£0	£41
Energy efficiency	£9	£142
Sustainable home products	£48	£195
Ethical food and drink	£43	£440
Local shopping	£65	£128
Ethical clothes	£20	£87
Cosmetics	£7	£31
Total spending	£202	£1 278

Evaluate the benefits of being ethical for a business such as Volvo Cars.

(20)

NOTE FORM ONLY

The high pay offered to CEO's



Is the high pay of CEO's an ethical issue?

◆ Why high CEO pay *is* an ethical issue:

- 🍷 **Unfairness** — CEOs earn hundreds of times more than average workers, which many see as unjust.
- 📉 **Impact on morale** — employees may feel undervalued or demotivated when they see huge pay gaps.
- 🏠 **Social inequality** — excessive CEO pay contributes to widening wealth gaps in society.
- 🔍 **Not always justified** — pay doesn't always reflect performance or company success.

◆ Why high CEO pay *may not be* unethical:

- 🏢 **Market forces** — companies argue they must pay high salaries to attract and keep top talent.
- 📊 **Performance-based rewards** — some CEO pay is tied to company profits, share price, or targets.
- 🌐 **High responsibility** — CEOs have huge responsibilities and their decisions affect thousands of jobs.
- 🗳️ **Shareholder approval** — pay packages are approved by boards and shareholders.



Extract E

Shareholders in carmaker *Stellantis* reject CEO's pay plan

Stellantis is the world's fourth-biggest carmaker and its brands include Peugeot and Fiat. At an investors' meeting in April 2022, just over 52% of *Stellantis* shareholders voted against the pay of the Chief Executive Officer (CEO).

Shareholders rejected a proposed €19m pay package for the carmaker's CEO Carlos Tavares. They objected to the 17.6% increase in his pay. 5

This would have put Carlos Tavares at the top of the pay scale for European car CEOs. In comparison, Herbert Diess, the CEO of the *Volkswagen Group*, was due a total of €8.6m for 2021. In the US, pay packages have tended to be larger with Jim Farley, CEO of *Ford Motor Company*, receiving pay of nearly \$23m (€22m). 10

The Board of Directors at *Stellantis* said the vote would be considered and it would detail any changes in its 2022 pay report. The company's share price remained unchanged at €13.97.

Extract F

Selected financial data for *Stellantis* 31 December 2020 and 2021

	2021	2020
Revenue	€149 419m	€47 656m
Profit for the year	€14 208m	€2 023m
Earnings per share	€4.64	€1.41
Number of employees	281,595	298,879



Affirmative Checking

Shareholders of *Stellantis* voted to reject a proposed pay increase for the CEO.

Using the data in Extracts E and F, evaluate whether the Board of Directors of *Stellantis* should accept the shareholders' vote.

(20)

